

TL-E01 – Business Problem and Scope

Document control

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Executive summary

This case study examines the need for a more controlled and consistent mortgage-forbearance assessment process. The current process relies on manual reviews, information held across different sources and several handoffs between operational, credit and approval teams. This can make it difficult to demonstrate that every case was assessed using the correct information, policy rules and approval authority. The intended outcome is a clearly defined process in which eligibility checks, exceptions, approvals, decisions and supporting evidence are recorded consistently. This initial analysis defines the business problem, affected stakeholders, scope boundaries, assumptions and early success measures. It does not define the final technical solution or replace detailed requirements and process-design activities.

Background

Mortgage forbearance refers to temporary or longer-term arrangements intended to support borrowers who are experiencing, or are likely to experience, difficulty meeting their contractual mortgage repayments. Depending on the customer's circumstances and the organisation's policies, an arrangement may involve a temporary payment reduction, payment deferral, term extension, interest-related adjustment or another approved treatment.

A regulated mortgage provider must be able to demonstrate that customers are treated fairly, relevant circumstances are considered, policy rules are applied consistently and decisions are made by people with the appropriate authority. The organisation should also be able to explain what information was considered, why a particular outcome was selected and whether any policy exception was approved.

For this case study, the modelled operating environment is assumed to contain manual activities, multiple systems or information sources and handoffs between customer-facing, assessment, credit, approval and operational teams. These assumptions must be validated during stakeholder interviews and current-state process analysis.

Current situation

The current mortgage-forbearance process is assumed to begin when a customer reports financial difficulty, misses a payment or is identified through an internal monitoring activity. A customer-service or arrears agent gathers information about the customer's financial circumstances and records it across one or more systems, forms or supporting documents.

An assessor then reviews the available information, considers relevant affordability and policy criteria and recommends an appropriate outcome. Cases involving higher risk, unusual circumstances or policy exceptions may be referred to a senior approver, credit specialist or another authorised decision-maker.

The final decision is communicated to the customer and recorded in the servicing environment. Supporting evidence may also be retained in document repositories, emails, case notes or locally maintained trackers.

The initial concern is that the full decision path may not always be visible in one place. It may therefore be difficult to confirm:

- which information was available when the decision was made;
- which policy version and eligibility criteria were applied;
- whether required checks were completed;
- why an exception was raised;
- who reviewed and approved the case;
- whether the final customer communication matched the approved outcome;
- whether the decision can be reconstructed later for assurance, complaints or audit purposes.

These observations are preliminary assumptions and require validation through interviews, document review, system analysis and process walkthroughs.

Business problem

The organisation may not have a sufficiently consistent and traceable method for controlling mortgage-forbearance assessments from initial information gathering through approval and customer communication.

Required information, policy checks, exceptions and approvals may be recorded across different systems or unstructured channels. This can create variation in how cases are assessed and may make it difficult to prove that the correct process was followed.

The core business problem is therefore:

The organisation cannot consistently demonstrate, from a single traceable decision record, that each mortgage-forbearance outcome was based on complete information, assessed against the correct policy rules, approved by an appropriately authorised person and communicated accurately to the customer.

This does not mean that individual decisions are necessarily incorrect. The problem is that the process may provide insufficient consistency, control and evidence to demonstrate how each outcome was reached.

Business impact

If the problem remains unresolved, the organisation may experience several forms of business impact.

Customer impact: Customers in similar circumstances may receive inconsistent assessments or experience delays while information is gathered, clarified or rechecked. A customer may also find it difficult to understand why a particular option was accepted or declined.

Operational impact: Employees may spend additional time searching for documents, checking previous actions, requesting missing information and manually reconstructing the history of a case. Rework may increase when a case is returned because required information or approval evidence is incomplete.

Control impact: Mandatory checks, approval limits and exception controls may depend heavily on employee knowledge or manual reminders. This increases the possibility that a required control is applied inconsistently.

Compliance and conduct impact: The organisation may find it difficult to demonstrate fair, consistent and policy-compliant treatment during a complaint investigation, assurance review or regulatory examination.

Management-information impact: Data about assessment times, decline reasons, exceptions, approval delays and customer outcomes may be incomplete or difficult to compare.

Reputational impact: Poorly explained, delayed or inconsistent outcomes may reduce customer confidence and create avoidable complaints or remediation activity.

Stakeholders affected

Stakeholder	Interest or concern
Customers experiencing financial difficulty	Timely, fair and understandable assessment of their circumstances
Customer-service or arrears agents	Clear information requirements and guidance on the next action
Forbearance assessors	Complete case information, current policy rules and consistent assessment criteria
Credit specialists	Appropriate assessment of affordability, risk and proposed arrangements
Authorised approvers	Clear evidence, defined approval limits and visibility of exceptions
Mortgage-servicing operations	Accurate implementation of the approved arrangement
Complaints team	Ability to reconstruct the decision and explain the customer outcome
Quality-assurance team	Evidence that required steps and controls were completed
Risk and compliance teams	Confidence that policy, conduct and regulatory obligations are being followed
Legal or data-protection teams	Appropriate use, access, retention and protection of customer information

Technology and data teams	Clear understanding of system, integration, data and reporting needs
Product or policy owners	Accurate implementation and interpretation of forbearance policy
Senior management	Reliable information about performance, risk, customer outcomes and control effectiveness
Internal audit or external assurance reviewers	Traceable evidence of how decisions were reached and approved

The stakeholder list is initial and should be refined through stakeholder analysis.

Desired outcome

The organisation should have a clearly defined mortgage-forbearance assessment process that produces consistent, timely, explainable and traceable customer outcomes.

The future process should enable the organisation to demonstrate:

- what customer and account information was considered;
- whether required information was complete;
- which policy rules and eligibility criteria were applied;
- what options were considered;
- why the proposed outcome was selected;
- whether an exception was raised;
- who reviewed and approved the case;
- whether the approver had the required authority;
- what final outcome was communicated to the customer;
- whether the decision can be reconstructed accurately at a later date.

The desired outcome describes the required business capability. It does not determine whether that capability should be delivered through configuration of an existing platform, integration between systems, a new application or a combination of process and technology changes.

Scope

The initial scope of this case study includes:

- identification or receipt of a mortgage-forbearance case;
- collection and recording of relevant customer and account information;
- validation of required information;
- assessment against defined eligibility and policy criteria;
- consideration of available forbearance options;
- recording of assessment rationale;
- identification and management of policy exceptions;
- referral to an authorised approver where required;
- recording of approval, rejection or request for additional information;
- recording of the final decision;
- communication of the approved outcome to the customer;
- handoff for implementation in the mortgage-servicing environment;
- retention of decision evidence and supporting records;
- visibility of case status and outstanding actions;
- production of basic management and control information;
- investigation of stakeholder, process, data, business-rule and system requirements;
- definition of functional and non-functional requirements for the future capability.

The scope covers the business-analysis work required to understand and define the controlled process. It does not yet approve a specific implementation approach..

Out of scope

The following areas are outside the initial scope:

- redesign of the organisation's full arrears-management operating model;
- collection or recovery activity unrelated to forbearance assessment;
- legal enforcement, repossession or litigation processes;
- creation of new mortgage products;
- changes to contractual interest calculation logic;
- replacement of the core mortgage-servicing platform;
- development of predictive models for identifying financial difficulty;
- automated approval of customer outcomes without authorised human involvement;
- organisation-wide customer-relationship-management replacement;
- historical remediation of all previously completed cases;
- detailed production architecture or infrastructure design;

- final vendor selection or procurement;
- implementation, migration and production deployment;
- final legal or regulatory interpretation.

An item may be moved into scope only through an agreed change-control decision.

Assumptions

Record statements currently treated as true but not yet fully confirmed, and identify where later The following assumptions are being used for the initial analysis:

1. The case study concerns residential mortgage customers experiencing, or likely to experience, repayment difficulty.
2. The organisation already has approved forbearance policies and defined customer-treatment principles.
3. Different outcomes may require different levels of approval authority.
4. Some cases may require a policy exception.
5. Relevant information is currently distributed across more than one system, document or communication channel.
6. At least part of the current assessment process is manual.
7. Human review and approval will remain necessary for defined decisions.
8. The core mortgage-servicing system will remain the authoritative source for the implemented account arrangement.
9. Existing customer and account data can be accessed subject to appropriate permissions and controls.
10. Customer information must be protected according to applicable data-protection, confidentiality and retention requirements.
11. The organisation requires evidence that can support quality assurance, complaint investigation, audit and management reporting.
12. This case study uses a synthetic business scenario and contains no real customer information.
13. Detailed policy rules, approval limits, system capabilities and regulatory interpretations have not yet been validated.

Each assumption should be confirmed, amended or rejected during discovery.

Initial success measures

The following measures will be used as starting points. Baseline values and final targets must be agreed with stakeholders.

Measure	Initial indication of success
Required information completeness	Increased percentage of cases containing all mandatory information before assessment
Assessment consistency	Similar cases are assessed using the same current policy criteria
Decision traceability	Each completed case records information considered, rules applied, rationale, approver and final outcome
Approval control	Cases requiring approval are completed only by users with the appropriate authority
Exception control	Policy exceptions are clearly identified, justified and approved
Processing time	Reduction in average time from complete information to final decision
Rework	Reduction in cases returned because of missing information, evidence or approval
Customer communication	Approved outcomes are communicated accurately and within the required timeframe
Complaint investigation	Reduced time required to reconstruct and explain a customer decision
Quality assurance	Increased first-time pass rate during case-file reviews

Auditability	Reviewers can reproduce the decision path without relying on undocumented verbal explanations
Management information	Reliable reporting is available for volumes, outcomes, exceptions, delays and approval activity
User adoption	Relevant employees can complete the process without relying on unmanaged workarounds

Open questions

1. What event formally starts a mortgage-forbearance case?
2. Which customer and account information is mandatory before assessment can begin?
3. Who is responsible for confirming that the information is complete and current?
4. Which policies, procedures and regulatory obligations govern the assessment?
5. How many forbearance options are currently available?
6. What are the eligibility criteria for each option?
7. Which criteria are mandatory, and which allow professional judgement?
8. What circumstances require a policy exception?
9. Who is authorised to approve each type of outcome or exception?
10. Are approval limits based on arrangement type, financial value, customer risk or another factor?
11. Can the person recommending an outcome also approve it?
12. Which systems currently hold customer, account, affordability, document and decision information?
13. Which system is the authoritative source for each data item?
14. How are documents and supporting evidence currently stored?
15. What customer communications are required at each stage?
16. How is the approved arrangement implemented in the servicing system?
17. What happens when information changes after approval but before implementation?
18. What service levels apply to assessment, approval and customer communication?
19. What are the most common causes of delay and rework?
20. What management information is currently available?

21. What evidence is required for complaints, quality assurance, compliance and audit?
22. What access restrictions and segregation-of-duties controls are required?
23. What retention periods apply to the decision record and supporting evidence?
24. Are there any active transformation projects that could affect this work?
25. What baseline data is available for processing time, rework, exceptions, complaints and quality results?
26. Which stakeholders have authority to approve the scope, requirements and future-state process?

The open-question list should be updated as questions are answered or new issues emerge.

Change history

Version	Date	Author	Change description
0.1	20 July 2026	Tony Anuge	Initial document structure created
0.2	20 July 2026	Tony Anuge	Added initial business problem, scope, stakeholders, assumptions, success measures and open questions